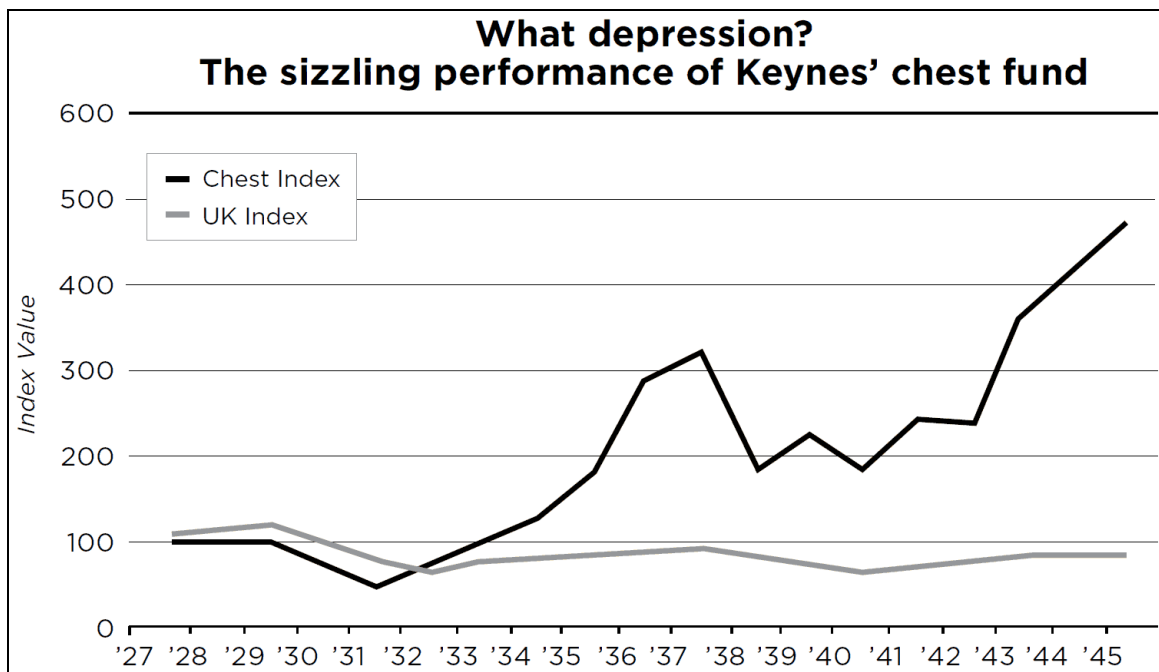


great investor. He had a keen understanding of markets.

Keynes managed Cambridge's King's College Chest Fund. The fund averaged 12 percent per year from 1927–1946, which was remarkable given that the period seemed to be all about gray skies and storm clouds — it included the Great Depression and World War II. The UK stock market fell 15 percent during this stretch. And to top it off, the Chest Fund's returns included only capital appreciation, as the college spent the income earned in the portfolio, which was considerable. I think it must be one of the most remarkable track records in the annals of finance.

How he did it is the subject of this section.



Keynes also made himself a personal fortune as an investor. When he died, he left an estate worth some \$30 million in present-day dollars, which surprised his contemporaries. Justyn Walsh, author of *Keynes and the Market*, points out that Keynes spent his last six years as an unpaid Treasury adviser. He outlived his parents, who left him no inheritance.

And Keynes was a great patron of the arts, financing many ventures out of his own pocket. To finish with such a grand sum sent London society abuzz.

“Some surprise has been expressed about the large fortune left by